the context of a large diversified portfolio. Rather, on the contrary, the ability to go short tends to provide a higher skew of the return distributions and thereby increase the attractiveness as a hedging strategy.

Managed futures funds sometimes have large and long-lasting drawdowns. This is an absolutely valid criticism and something you need to be very aware of before setting out on this path. People like to hear percentage numbers, such as a common drawdown is 20%, for example, but this is not really helpful since you can tweak the risk factor up and down as you please by adjusting position sizes, as I explain in detail in later chapters. The question should rather be whether the long-term return numbers compensate for the worst drawdown scenarios and in this case it is hard to argue with the numbers. Drawdowns are painful when they occur but to say that they are worse than for the classic buy-and-hold equity alternative would be untrue. At the bottom of the equity bear market of 2008, based on MSCI World, you would have lost 55% from the peak and gone back to the levels of the mid-1990s. Losing almost 15 years of accumulated gains is practically unheard of for diversified futures strategies, yet the buy-and-hold strategy is considered by many the safer alternative.

Of course, just because a strategy worked for the past 30–40 years does not necessarily mean it will work in the next decade or two. We are not dealing with mathematical certainties here and we are not trying to predict the future. What we are doing is trying to tilt the probabilities slightly in our favour and then repeat the same thing over and over a large number of times. There will be years that are very bad for trend followers and there will be very good years. Over time the strategy is highly likely to produce strong absolute returns and to outperform traditional investment methods, but we are dealing in probabilities and not in certainties. There are no guarantees in this business, regardless of which strategy you choose. I don't expect any major problems that would end the profitable reign of trend-following futures trading, but it would be arrogant not to admit that the dinosaurs probably did not expect a huge stone to fall from the sky and end their party either. Neither event is very likely but both are quite possible.

Managed Futures as a Business

This book primarily deals with how to trade trend-following futures strategies as a money manager, trading other people's money, and it would be fair to wonder why one would want to share the profits with others. Some